

25VECV06614 25VECV06614

County: los-angeles

Division: Civil Law and Motion

Department: U

Hearing date: 2026-07-31

Motion: DEFENDANT'S DEMURRER TO PLAINTIFF'S SECOND AMENDED COMPLAINT AND MOTION TO STRIKE PORTIONS THEREOF

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Case Number: 25VECV06614 Hearing Date: July 31, 2026 Dept: U

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

TAMMY DUNN, an individual,

Plaintiff,

vs.

WILLIAM C. MERRILL, JR. a/k/a WILLIAM MERRILL, an individual; and DOES 1-100, inclusive,

Defendants.

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CASE NO: 25VECV06614

[TENTATIVE] ORDER RE: DEFENDANT'S DEMURRER TO PLAINTIFF'S SECOND AMENDED COMPLAINT AND
MOTION TO STRIKE PORTIONS THEREOF

Dept. U

8:30 a.m.

July 31, 2026

BACKGROUND

This case is an action to quiet title filed by Plaintiff Tammy Dunn against Defendants William C. Merrill, Jr. a/k/a William Merrill ("Merrill") and the Estate of Hildegard Merrill (the "Estate").

On November 18, 2025, Plaintiff filed her original complaint against Defendant Merrill.

On November 26, 2025, Plaintiff filed her first amended complaint against Defendant Merrill.

On March 30, 2026, Plaintiff filed her second amended complaint (the "SAC") against Defendants Merrill and the Estate alleging: (1) quiet title; (2) breach of contract; (3) fraud; (4) violation of Business and Professions Code; (5) negligence; (6) breach of the implied covenant to perform work in a good and competent manner; (7) breach of the implied covenant of good faith and fair dealing; and (8) cancellation of instrument.

On April 28, 2026, Merrill filed his demurrer to the SAC and motion to strike portions thereof.

On July 15, 2026, Plaintiff filed her opposition briefs.

On July 21, 2026, Merrill filed his reply briefs.

RULING

The demurrer is sustained, with leave to amend. The motion to strike is granted, without leave to amend, solely as to portions of the motion that pertain only to Plaintiff's fourth cause of action. The motion to strike is otherwise denied.

LEGAL STANDARD

Demurrer

A demurrer is a procedure to object to a pleading set forth under Code of Civil Procedure section 430.10, et seq. Because a demurrer tests the pleadings alone and not the evidence or other extrinsic matters, a demurrer analysis considers only those defects which appear on the face of the pleading or are judicially noticed. See *SKF Farms v. Superior Court* (1984) 153 Cal.App.3d 902, 905. When considering demurrers, courts assume the truth of the facts alleged in the pleading and read the allegations liberally and in context. See *Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.

A demurrer for sufficiency attacks a pleading on the ground that it does not contain facts sufficient to state a cause of action. Code Civ. Proc., § 430.10 (e); *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.

Motion to Strike

The Court has broad authority to strike any portion of a pleading drawn not in conformity with the law and its orders. Code Civ. Proc., § 436. The trial court shall strike an allegation of punitive damages on motion unless the plaintiff has pleaded ultimate supporting facts. *Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.

DISCUSSION

Merrill demurs to the following causes of action in the SAC: (1) quiet title; (2) breach of contract; (3) fraud; (5) negligence; (6) breach of the implied covenant to perform work in a good and competent manner; (7) breach of the implied covenant of good faith and fair dealing; and (8) cancellation of instrument. Merrill also moves to strike portions of the SAC on several grounds.

Review of Allegations in the SAC

Plaintiff sues Merrill and his late mother's estate over real property located at 17817 Bullock Street in Encino (the "Property"). Plaintiff alleges she owned the home for decades before adding Merrill to its title in 2017 in exchange for his promise to build an additional room, pay off her mortgage, and act like a supportive partner. (SAC, ¶¶ 3-5, 14.)

Plaintiff pleads Merrill was not licensed, pulled no permits, and built a defective addition. Plaintiff pleads that a contractor inspection found no real foundation, an unsafe undersized bathroom, leaking plumbing, bad wiring, and other code violations, and concluded the Property should be demolished. Plaintiff also alleges Merrill never paid off her mortgage and instead steered money into two Palm Desert properties. Plaintiff alleges she paid the mortgage herself. (SAC, ¶¶ 15, 17, 19.)

Plaintiff alleges the Property's quitclaim deed was altered after she signed it. Plaintiff says she signed the quitclaim deed on a Thursday, but the deed wasn't notarized until the following Sunday. Plaintiff alleges that during the interim, "gift" and tax-exemption language was typed onto the deed without her knowledge. Plaintiff alleges this was after she handed the deed to Merrill's mother, a real estate broker with a prior fraud judgment against her, to record. Plaintiff alleges her twin sister recently spotted the discrepancy. (SAC, ¶¶ 21-22, 27.)

Plaintiff pleads she was in an abusive relationship with Merrill and had no lawyer or family member review the deed before signing it. Plaintiff alleges Merrill was eventually removed from the Property via a 2025 restraining order, which she says Merrill has since violated. (SAC, ¶¶ 23-26.)

Plaintiff's allegations are insufficient to show that her claims survive relevant statutes of limitation.

Merrill demurs to the following causes of action (the numbers in the parentheses in this list reflect the number of the cause of action) in the SAC on grounds that Plaintiff failed to file her original complaint within the relevant statutes of limitation: (1) quiet title; (2) breach of contract; (3) fraud; (5) negligence; (6) breach of the implied covenant to perform work in a good and competent manner; (7) breach of the implied covenant of good faith and fair dealing; and (8) cancellation of instrument.

Plaintiff's first, third, fifth, and eighth causes of action are subject to a 3-year statute of limitations. See Code Civ. Proc., § 338 (addressing claims alleging injury to real property and claims based on fraud); see *Muktarian v. Barmby* (1965) 63 Cal.2d 558, 560 ("Since there is no statute of limitations governing quiet title actions as such, it is ordinarily necessary to refer to the underlying theory of relief to determine which statute applies"); see *Salazar v. Thomas* (2015) 236 Cal.App.4th 467, 476-477 (3-year limitations period applies to cancellation of instrument based on fraud or mistake). Plaintiff's second, sixth, and seventh causes of action are subject to a 2-year statute of limitations. See Code Civ. Proc., § 339 (addressing actions based on contract).

Plaintiff alleges she added Merrill to the Property's title in 2017 in exchange for his promise to build an additional room, pay off her mortgage, and act like a supportive partner. Plaintiff alleges the quitclaim deed was fraudulently altered after she signed it and that the fraud was first discovered when her twin sister "recently reviewed" the document. (SAC, ¶ 27.) Plaintiff alleges that a contractor inspection found no real foundation, an unsafe undersized bathroom, leaking plumbing, bad wiring, and other code violations, and concluded the Property should be demolished. Plaintiff alleges Merrill never paid off her mortgage and instead steered money into two Palm Desert properties. Plaintiff fails to allege when the contractor inspection occurred.

Plaintiff argues her allegations show that her claims survive the statutes of limitation because claims sounding in fraud are not "deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." *Leeper v. Beltrami* (1959) 53 Cal.2d 195, 207. Plaintiff argues the Court should use October 9, 2025, the date of a property report produced by a company called Stewart, as the date on which the statutes of limitation began to run. The Stewart report is attached to the SAC as Exhibit 6.

The Court disagrees with Plaintiff that her reference to the Stewart report is sufficient to show that Plaintiff was without facts putting her on notice as to Merrill's alleged fraud earlier than October 9, 2025. The alleged oral transaction was entered in 2017. Plaintiff says that since 2017, Merrill failed to pay the Property's mortgage and instead steered money into two Palm Desert properties. Plaintiff alleges Merrill also failed to perform permitted work. Plaintiff fails to explain how she did not discover a problem when Merrill failed to make payment towards her mortgage. Plaintiff fails to explain how she lived at the Property for approximately eight (8) years without noticing that the Property's remodeling work was so substandard that HLS Remodeling now recommends the Property's "demolition and reconstruction." (SAC, p. 66.) Plaintiff does not explain what prompted her to obtain the Stewart report or what specific facts in the Stewart report were not already within Plaintiff's knowledge when she hired Stewart to create a report.

Plaintiff alleges that she discovered the fraudulent quitclaim deed when her twin sister "recently reviewed" the document, but Plaintiff fails to specify when that occurred. (SAC, ¶ 27.) If Plaintiff's twin sister pointed out the fraud on some date before

October 9, 2025, it would seem that the earlier date would start the limitations period running, as that would be when Plaintiff had information showing the existence of fraud. In sum, without substantially more detail showing when and how Plaintiff first discovered facts giving rise to Merrill's alleged fraud, Plaintiff's allegations are insufficient to show that her claims sounding in fraud are not time-barred.

Similar logic applies to Plaintiff's contract claims. Plaintiff alleges Merrill never paid off her mortgage and instead steered money into two Palm Desert properties. Plaintiff fails to allege when these breaches occurred. Plaintiff would need to identify a first date on which she had knowledge of Merrill's breach (e.g., the first date that Merrill refused to pay towards the mortgage and when Plaintiff began paying the mortgage herself) to establish that she may have a contract claim that is not barred by an applicable statute of limitations. Such details are especially necessary given that the alleged oral contract was entered in 2017, and continuing mortgage payments are likely to have been required shortly thereafter.

The Court disagrees with Plaintiff that she has sufficiently alleged facts showing that equitable estoppel/equitable tolling applies. While Plaintiff cites case law showing that a delay in commencing an action that is induced by the conduct of a defendant may justify extending a limitations period, Plaintiff's vague citation to "domestic violence" (Opposition, p. 4:25) is insufficient to show how specifically Merrill manipulated circumstances such that Plaintiff was unable to discover facts amounting to fraud at some later date. While the Court is sympathetic to Plaintiff's argument that an abusive relationship can delay a victim's ability to discover facts amounting to fraud in some circumstances, Plaintiff has not sufficiently explained how that happened in this case.

In sum, Plaintiff's allegations are insufficient to show that any of the following causes of action survive the relevant statutes of limitation: (1) quiet title; (2) breach of contract; (3) fraud; (5) negligence; (6) breach of the implied covenant to perform work in a good and competent manner; and (7) breach of the implied covenant of good faith and fair dealing. The demurrer will be sustained, with leave to amend, as to these causes of action. In any further amended pleading, Plaintiff will need to specify when and how she first obtained specific facts amounting to fraud and breach of contract, and how the alleged first discovery is not contradicted by her other allegations in the pleading.

The court agrees with Merrill that some of Plaintiff's allegations of fraud are insufficiently specific to meet her particularized pleading burden.

The necessary elements for fraud are: (1) misrepresentation; (2) knowledge of falsity; (3) intent to defraud; (4) justifiable reliance; and (5) resulting damage. *Conroy v. Regents of Univ. of Cal.*, 45 Cal.4th 1244, 1255. Additionally, any action sounding in fraud must be pleaded with particularity. *City of Pomona v. Superior Court*, 89 Cal.App.4th 793, 803. This heightened pleading standard requires a plaintiff to plead facts in his complaint showing "how, when, where, to whom, and by what means the representations [amounting to fraud] were tendered." *Stansfield v. Starkey*, 220 Cal.App.3d 59, 73.

Several of Plaintiff's allegations in the SAC seem to allege breach of contract rather than fraud. Specifically, Plaintiff's allegations that Merrill failed to pay off the mortgage and failed to perform permitted work seem to support a breach of contract theory rather than a theory sounding in fraud because they do not show that Merrill intended to defraud Plaintiff when the promises were made. Without more specific facts showing Merrill intended to defraud Plaintiff when making the 2017 promises regarding the mortgage and future construction, such allegations are insufficient to support Plaintiff's claims sounding in fraud.

As to Plaintiff's allegation that Merrill and his mother altered the quitclaim deed after Plaintiff signed it, the Court agrees with Plaintiff that for purposes of a demurrer (and in the absence of a statute of limitations issue) such allegations are sufficient to support a claim sounding in fraud. Plaintiff alleges that during the interim, "gift" and tax-exemption language was typed onto the deed without her knowledge. While there is some ambiguity as to the date on which Plaintiff says the document was altered, Plaintiff's allegation that Merrill altered the deed is sufficient to allege fraud.

In sum, the court agrees with Merrill that some of Plaintiff's allegations of fraud are insufficiently specific to meet her particularized pleading burden. Going forward, Plaintiff should clarify which specific acts support her fraud claim when

amending her pleading.

While the argument is not raised in the parties' briefs, the Court is concerned that the alleged oral contract may violate the statute of frauds.

The Court notes that the alleged oral contract for Merrill to obtain an interest in the Property based on several subsequent conditions (his payment of the mortgage, his building of an additional room, and his acting like a supportive partner) likely violates the statute of frauds. See Civ. Code, § 1624 (a)(3). While this issue is not raised in the parties' briefs, the Court advises the parties to take the statute of frauds into account when drafting future pleadings and demurrers.

The motion to strike is granted solely as to portions pertaining to Plaintiff's fourth cause of action. The motion to strike is otherwise denied as moot.

Merrill moves to strike portions of the SAC on several grounds.

As to Merrill's position that Plaintiff improperly seeks a declaration of rights in connection with Plaintiff's fourth cause of action for violation of Business and Professions Code, the Court agrees. Declaratory relief is a standalone cause of action set forth under Code of Civil Procedure section 1060. To claim declaratory relief, "an actual, present controversy must be pleaded specifically and the facts of the respective claims concerning the underlying subject must be given." *City of Cotati v. Cashman* (2002) 29 Cal.4th 69, 80 (internal quotations omitted). Because Plaintiff does not separately allege a standalone cause of action for declaratory relief and clarify the precise bases on which she is seeking a judicial declaration of rights, Plaintiff's request for declaratory relief included as part of her fourth cause of action is improper.

Merrill also argues that Plaintiff improperly seeks civil penalties in connection with her claim under Business and Professions Code section 17200 because private remedies under that statute "are limited to equitable relief, and civil penalties are recoverable only by specified public officers." *Brown v. Allstate Ins. Co.* (S.D.Cal. 1998) 17 F.Supp.2d 1134, 1140. The Court agrees. Plaintiff fails to argue otherwise in her opposition brief. The motion to strike is granted, without leave to amend, solely as to portions pertaining to Plaintiff's fourth cause of action.

The remainder of Merrill's motion to strike addresses portions of the SAC that are covered by Plaintiff's remaining causes of action for which the Court has already determined the demurrer will be sustained on other grounds. Because it is unclear whether Plaintiff will be able to sufficiently allege these claims in a future pleading, the remainder of the motion to strike is denied as moot.

CONCLUSION

Defendant William C. Merrill, Jr. a/k/a William Merrill's demurrer is SUSTAINED, with leave to amend, as to the following causes of action in the Second Amended Complaint: (1) quiet title; (2) breach of contract; (3) fraud; (5) negligence; (6) breach of the implied covenant to perform work in a good and competent manner; (7) breach of the implied covenant of good faith and fair dealing; and (8) cancellation of instrument.

Defendant William C. Merrill, Jr. a/k/a William Merrill's motion to strike portion of the Second Amended Complaint is GRANTED solely as to portions of the motion pertaining to Plaintiff's fourth cause of action. The motion to strike is otherwise DENIED as moot.

Plaintiff is ORDERED to file a Third Amended complaint within ten (10) days. See Cal. Rules of Court, Rule 3.1320(g).

Defendant William C. Merrill, Jr. a/k/a William Merrill is ORDERED to give notice.

DATED: July 31, 2026

Lee Arian

Judge of the Superior Court